Practice workbook · The World Trade Organization: what it does

What the WTO does: hosts trade negotiations, sets and enforces trade rules, settles disputes, and pushes members to lower barriers, and how this promotes trade.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T22-10

1. Question 1 · part g · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part g only.

1 (a) The increased integration and interdependence of economies is known as

(1)

- ☒ **A** privatisation
- ☒ **B** specialisation
- ☒ **C** protectionism
- ☒ **D** globalisation

(b) What is the main cause of frictional unemployment?

(1)

- ☒ **A** People choosing not to work
- ☒ **B** People having the wrong skills
- ☒ **C** People changing jobs
- ☒ **D** People employed at certain times of the year

(c) What is meant by the term interest rate?

(2)

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1. Question 1 · part g · 3 marks

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Worked-example retry · Attempt part g only.

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(d) Describe **one** impact on consumers of a decrease in interest rates.

(2)

Rachel buys a t-shirt for 1 000 Kenyan shillings (KES) when she is on holiday.
The exchange rate is £1 = 137.73 KES.

(e) Calculate, to two decimal places, the price in sterling (£) of Rachel's t-shirt. You are advised to show your working.

(2)

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1. Question 1 · part g · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part g only.

(f) Using the diagram below, draw the effects of the introduction of a quota on the equilibrium price and quantity of a good.
Label the new curve, the new equilibrium price and new equilibrium quantity.

(3)

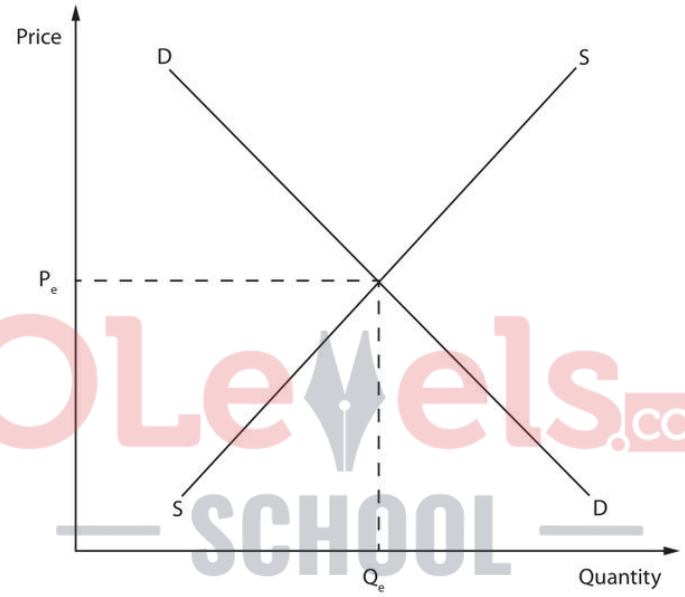


Figure 1

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1. Question 1 · part g · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part g only.

In 2017 the US government wanted to introduce a 300% tariff on imported aircraft made by Canadian manufacturer Bombardier.

(g) Explain **one** way the World Trade Organisation could promote free trade between countries such as Canada and the US.

(3)

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Turn over

1. Question 1 · part g · 3 marks

2019 JUN · Paper 02

Worked-example retry · Attempt part g only.

In January 2018, Australia had an unemployment rate of 5.5%.

(h) Analyse how the Australian government might reduce unemployment by using fiscal policy.

(6)

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(Total for Question 1 = 20 marks)

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1. Question 1 · part g · 3 marks · Working and answer

Working and answer

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2. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

4 Figure 3 shows the amount the US spent on education in 2017–2018.

Fiscal Year	$bn
2017	68
2018	59

(Source adapted from: https://www2.ed.gov/about/overview/budget/budget18/summary/18summary.pdf)

Figure 3

(a) Calculate to two decimal places the **percentage change** in the amount spent on education in the US from 2017–2018. You are advised to show your working.

(2)

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2. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

The World Trade Organisation (WTO) has 164 members representing 98% of world trade. The US joined in 1995 and has been involved in 422 trade disputes.

(b) Analyse the role of the World Trade Organisation (WTO) in the growth of international trade.

(6)

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2. Question 4 · part b · 6 marks

2020 NOV · Paper 02 (regional R)

Further practice · Attempt part b only.

In 2018, the USA increased its emissions of carbon dioxide. This increase happened even though large numbers of coal-fired power stations were closed and American consumers purchased nearly double the number of electric cars. The main reason, often stated as a benefit to an economy, was high economic growth.

A booming US economy has meant increased industrial production, more truck and air travel and more offices and other workplaces to heat. The result is that the USA will have to do even more in the coming years to meet international commitments for greenhouse gas reductions by increasing its protection of the environment.

(Source adapted from: https://www.nbcnews.com/news/us-news/economic-boom-spikes-carbon-emissions-despite-green-tech-gains-n956336)

(c) With reference to the data above and your knowledge of economics, evaluate whether there is a trade-off between economic growth and environmental protection for a country such as the USA.

(12)

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2. Question 4 · part b · 6 marks · Working and answer

Working and answer

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3. Question 1 · part a · 1 mark

2023 JAN · Paper 02

Further practice · Attempt part a only.

1 (a) Which **one** of the following is a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Writing off debts
- ☒ **B** Settling trade disputes
- ☒ **C** Increasing trade barriers
- ☒ **D** Paying subsidies to producers

(b) Which **one** of the following is an example of a supply-side policy to increase output?

(1)

- ☒ **A** Increasing income tax
- ☒ **B** Increasing interest rates
- ☒ **C** Increasing the school-leaving age
- ☒ **D** Increasing business taxes

(c) What is meant by the term economies of scale?

(2)

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3. Question 1 · part a · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a characteristic of progressive taxation?

(1)

- ☒ **A** The tax rate is the same for all income levels
- ☒ **B** The tax rate decreases as income increases
- ☒ **C** The tax rate increases as income increases
- ☒ **D** The tax rate fluctuates based on the overall level of GDP of the economy

(b) Which **one** of the following describes a fiscal surplus?

(1)

- ☒ **A** The value of imports is less than the value of exports
- ☒ **B** The value of imports is greater than the value of exports
- ☒ **C** Government revenue is less than government expenditure
- ☒ **D** Government revenue is greater than government expenditure

(c) What is meant by the term income inequality?

(2)

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4. Question 1 · part d · 2 marks

2023 NOV · Paper 02

Further practice · Attempt part d only.

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(d) Describe **one** role of the World Trade Organization (WTO).

(2)

A country has a labour force of 34 million people of which 32 million people are employed.

(e) Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working.

(2)

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4. Question 1 · part d · 2 marks · Working and answer

Working and answer

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5. Question 2 · part b · 1 mark

2024 JUN · Paper 02 (regional R)

Further practice · Attempt part b only.

2 (a) Which **one** of the following is the calculation for the rate of unemployment in a country?

(1)

- ☒ **A** Total labour force/Total population × 100
- ☒ **B** Number of unemployed/Total labour force × 100
- ☒ **C** Number of employed/Total labour force × 100
- ☒ **D** Total unemployment/Total population × 100

(b) Which **one** of the following describes a role of the World Trade Organization (WTO)?

(1)

- ☒ **A** Help with trade negotiations
- ☒ **B** Regulates multinational corporations
- ☒ **C** Provides financial assistance to developing countries
- ☒ **D** Stabilises exchange rates

(c) State **one** possible reason for a current account surplus.

(1)

(d) What is meant by the term relative poverty?

(2)

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5. Question 2 · part b · 1 mark · Working and answer

Working and answer

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6. Question 2 · part c · 1 mark

2025 NOV · Paper 02

Further practice · Attempt part c only.

2 (a) Which **one** of the following describes a trade bloc?

(1)

- ☒ **A** A group of countries that use the same currency
- ☒ **B** A group of countries that have the same tax rates
- ☒ **C** A group of countries that have the same language
- ☒ **D** A group of countries that reduce trade barriers between themselves

(b) Which **one** of the following best describes the role of currency speculators?

(1)

- ☒ **A** They invest in government bonds
- ☒ **B** They trade currencies to profit from changes in exchange rates
- ☒ **C** They lend money to countries at low interest rates
- ☒ **D** They keep exchange rates stable by fixing the currency

(c) State **one** possible role of the World Trade Organization (WTO).

(1)

(d) What is meant by the term economic growth?

(2)

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6. Question 2 · part c · 1 mark · Working and answer

Working and answer

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